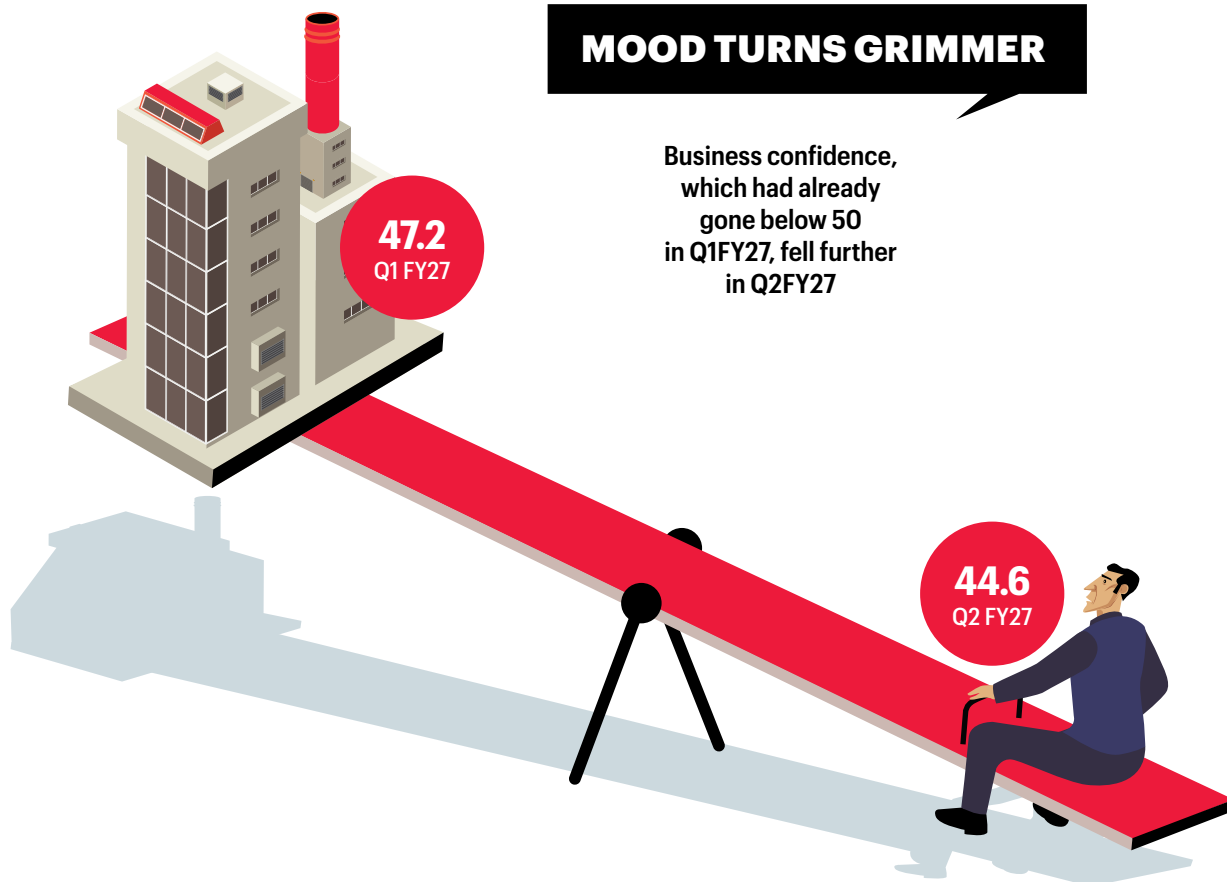


MOOD TURNS GRIMMER

Business confidence, which had already gone below 50 in Q1FY27, fell further in Q2FY27



PAIN POINTS AHEAD



The Indian economy started fiscal year 2026-27 on a resilient note



Macroeconomic conditions may improve later in the year with the end of the war



A substantial number of businesses are considering passing higher crude oil and input costs to customers

pandemic with a reading of 43.2 in the April–June 2021 quarter and 43.8 in the October–December 2020 quarter.

The latest survey was conducted between June 2 and 13, right before the peace deal between the US and Iran was firmed up, but it revealed that the outlook across business sizes and sectors had turned bleaker in Q2 compared with Q1.

Amongst sectors, light industry—comprising food products and beverages, textiles and furniture, amongst others—registered the lowest confidence at 43.9. In terms of size of businesses, micro industries remained the worst impacted with a reading of 43.7 for the second quarter of the fiscal.

Since businesses were less confident about Q2 than the preceding quarter in terms of economic outlook, consumption demand and profits, their hiring plans for Q2 were also muted.



RUMKI MAJUMDAR
ECONOMIST,
DELOITTE INDIA

“Confidence of corporates may remain muted in the short term and firms will remain cautious for the next six months or so. Concerns over US tariffs also continue until a trade deal is signed”